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NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH
COURT NO.1

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, BENGALURU BENCH, BENGALURU, HELD ON 10.08.2018.

PRESENT: 1.Hon'ble member (J) **Shri Rajeswara Rao vittanala,**
2.Hon'ble member (T) D**r. Ashok Kumar Mishra**

CP/CA No	Purpose	Section	Name of Petitioner	Petitioner Advocate	Name of Respondent	Respondent Advocate
CA(CAA) No. 30/BB/2018	For pronouncement of order	Sec 230-232	M/s Wipro Ltd	Pramod S M PCS		

SL. NO.	NAME (IN CAPITAL) & PHONE NUMBER	REPRESENTATION TO WHOM	SIGNATURE

PETITIONER/s : PRAMOD S.M. 9845657072 Petitioner

RESPONDENT/s :

ORDER

Heard Shri Pramod S.M., PCS appearing for the Petitioner . CA disposed of by separate order

Member (T)

Prema Murray

Member (J)

IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CA(CAA)NO.30/BB/18
Under Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF SCHEME OF AMALGAMATION
IN THE MATTER OF
WIPRO TECHNOLOGIES AUSTRIA GMBH
WIPRO INFORMATION TECHNOLOGY AUSTRIA GMBH
NEWLOGIC TECHNOLOGIES SARL
APPIRIO INDIA CLOUD SOLUTIONS PRIVATE LIMITED
WIPRO LIMITED

Order delivered on: 10th August, 2018

Coram: Hon'ble Shri Rajeshwara Rao Vittalana, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s): Pramod S.M
Practising Company Secretary
No.926, 20th Main,#4272, 2nd Floor,
Saptagiri, Vivekananda Park Road
Near Seetha Circle, Girinagar
Bangalore-560085

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Heard on: 31.5.2018, 3.7.2018

WIPRO TECHNOLOGIES AUSTRIA GMBH
Reichsstrasse 126, 1st Floor,
6800 Feldkirch, Austria
-Transferor Company No.1

WIPRO INFORMATION TECHNOLOGY AUSTRIA GMBH
Reichsstrasse 126, 1st Floor,
6800 Feldkrich, Austria
-Transferor Company No.2

NEWLOGIC TECHNOLGIES SARL
Tour Prisma, 4-6 Avenue d'Alsace
92400 Courbevoie Paris la Defence
-Transferor Company No.3

APPIRIO INDIA CLOUD SOLUTIONS PRIVATE LIMITED
SJP-1-A, Block, Doddakannelli,
Sarjapur Road, Bangalore-560035 -Applicant Company No.1/Transferor Company No.4

WIPRO LIMITED
Doddakannelli, Sarjapur Road
Bangalore-560035
-Applicant Company No.2/Transferee Company

ORDER

1. This Application is filed on behalf of the Applicant Companies under Section 230 to 232 of Companies Act, 2013 read with Section 234 of the Companies Act, 2013 and Rule 3 Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, praying to:

   I. Direct that the meeting of the Equity Shareholders of the Transferee Company be held on such date and time as this Hon'ble Tribunal may deem fit and that a Chairman be appointed for the meeting, and pass necessary directions with regard to issue of notice, convening, holding and conducting of the meeting;

   II. Direct that the meeting of the Unsecured Creditors of the Transferee Company be held on such date and time as this Hon'ble Tribunal may deem fit and that a Chairman be appointed for the meeting, and pass necessary directions with regard to issue of notice, convening, holding and conducting of the meeting;

   III. Pass orders for dispensation of the meeting of the Equity Shareholders of the Transferor Company No.4;

   IV. Pass orders for dispensation of the meeting of the unsecured creditors of the Transferor Company No.4;

2. The averments made in the Company Application are briefly described hereunder:-

3. This Application is filed on behalf of the applicant companies stating that the Applicant Company/Transferor Company No.4 was incorporated on 5th April, 2013 under the name and style of APPIRIO INDIA CLOUD SOLUTIONS PRIVATE LIMITED with Registrar of Companies, Rajasthan. Subsequently on 12th April, 2018 the Applicant company shifted the registered office from the State of Rajasthan to the State of Karnataka having CIN No.U72200KA2013FTC112246. The Registered office of the Applicant Company No.1/Transferor Company No.4 is situated at SJP-1, A Block, Doddakannelli, Sarjapur Road, Bangalore-560035.

4. The main objects of the Applicant Company No.1/Transferor Company No.4 is to carry on business of developing, improving, designing, repairing, testing, debugging and maintaining of cloud applications in the information technology

sector, in India and elsewhere, in order to assist customers with adoption and integrating as part of their business, cloud based applications and platforms. The copy of Memorandum and Articles of Association of the Applicant Company No.2/Transferor Company No.4 is shown as Annexure-G.

5. The latest authorised share capital of the Applicant Company No.1/Transferor company No.4 is Rs.90,00,000/- divided into 9,00,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Applicant Company No.1/Transferor Company No.4 is Rs.80,00,000/- divided into 8,00,000 Equity Shares of Rs.10/- each. The Audited balance sheet as on 31st March, 2017 is shown as Annexure-H.

6. It is further stated that Applicant Company No.2/Transferee Company was incorporated on 29th December, 1945 under the name and style of Western India Vegetable Products Limited with Registrar of Companies, Bombay. Subsequently on 7th June, 1977 the name was subsequently changed to Wipro Products Limited. Again on 28th April, 1984 the name was changed to Wipro Limited. Again on 10th July, 1996 the registered office of the Applicant Company No.2 was shifted to the State of Karnataka. The Registered office of the Applicant Company No.2/Transferee Company is situated at Doddakannelli, Sarjapur Road, Bangalore-560035.

7. The main objects of the Applicant Company No.2/Transferee Company is to undertake and carry on the business of providing all kinds of information technology based and enabled services in India and internationally, electronic remote processing services, eServices, including all types of Internet-based/Web enabled services, transaction processing, fulfilment services, business support services including but not limited to providing financial and related services of all kinds and description including billing services, processing services, database services, data entry business-marketing services, business information and management services, training and consultancy services to businesses, organizations, concerns, firms, corporations, trusts, local bodies, states, governments and other entities; to establish and operate service processing centres for providing services for back office and processing requirements, marketing, sales, credit collection services for companies engaged in business of remote processing and IT enabled services from place of business in India or elsewhere, contacting or communicating to and on behalf of overseas customers

by voice, data image, letters using dedicated international private lines; and to handle business process management, remote help desk management; remote management; remote customer interaction, customer relationship management and customer servicing through call centres, email based activities and letter/fax based communication, knowledge storage and management, data management, warehousing, search, integration and analysis for financial and non-financial data. The copy of Memorandum and Articles of Association of the Applicant Company No.2/Transferee Company is shown as Annexure-I.

8. The latest authorised share capital of the Applicant Company No.2/Transferee company is Rs.11,26,50,00,000/- divided into 5,50,00,00,000 Equity Shares of Rs.2/- each, 2,50,00,000 Preference Shares of Rs.10/- each and 1,50,000 10% Optionally Convertible Cumulative Preference Shares of Rs.100 each. The issued, subscribed and paid-up capital of the Applicant Company No.2/Transferee Company is Rs.9,04,78,90,942/- divided into 4,52,39,45,471 Equity Shares of Rs.2/- each. The Audited balance sheet as on 31st March, 2017 is shown as Annexure-J.

9. It is further stated that Wipro Technologies Austria GmbH (Transferor Company No.1) is incorporated in Feldkirch, Austria and is registered in the Companies' Register under number FN 158560 b. The Registered office of Transferor Company No.1 is situated at Reichsstrasse 126, 1st Floor, 6800 Feldkirch, Austria. The paid-up share capital of Transferor Company No.1 is Euro 1,07,10,832/- .

10. It is further stated that Wipro Information Technology Austria GmbH (Transferor Company No.2) is incorporated in Feldkirch, Austria and is registered in the Companies' Register under number FN 269351 f. The Registered office of Transferor Company No.2 is situated at Reichsstrasse 126, 1st Floor, 6800 Feldkirch, Austria. The paid-up share capital of Transferor Company No.2 is Euro 35,000/- .

11. It is further stated that NewLogic Technologies SARL (Transferor Company No.3) is a registered as French Limited Liability Company. The Registered office of Transferor Company No.3 is situated at Tour Prisma, 4-6 Avenue d'Alsnce, 92400 Courbevoie-Paris la Defense. The paid-up share capital of Transferor Company No.3 is Euro 6,17,132.80/- .

12. It is further stated that, the Board of Directors of the Applicant Companies have approved and adopted a Scheme of Amalgamation at their respective meetings held on 25th April, 2018 by virtue of which Wipro Technolgies Austria GmbH (Transferor Company No.1), Wipro Information Technology Austria GmbH (Transferor Compliance No.2), NewLogic Technologies SARL (Transferor Company No.3) and Appirio India Cloud Solutions Private Limited (Applicant Company No.1/Transferor Company No.4) is proposed to be merged with Mindtree Limited (Applicant Company No.2/Transferee Company) subject to confirmation. Copy of the Board Resolution of Applicant Company dated 16th March, 2018 approving and adopting the Scheme of Amalgamation is shown as Annexure-N & O respectively.

13. It is further averred in the scheme that the Board of Directors of the Applicant Company is of the opinion that the arrangement would among other things result in following benefits:

A. The amalgamation will enable the Transferee Company to integrate its business operations and provide impetus to the operations of the Transferee Company.

B. The combined entity will have a bigger portfolio of services targeted at a wider array of customers, which will strength its competitive position in providing IT services/software and technology related services markets.

14. It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No.1/Transferor Company No.4 has certified that there are two equity shareholders as on 30th April, 2018 of the Applicant Company No.2/Transferor Company No.4. The certificate of the Chartered Accountant certifying the list of shareholders is shown as Annexure-Q.

15. We have seen the consent affidavits which filed by two equity shareholders of Applicant Company No.1/Transferor Company no.4 i.e., (i)Wipro Limited, holding 7,99,999 equity shares, constituting 99.99% of the paid-up capital,(ii)Mr.Bhanumurthy Ballapurammuni holding 1 equity share, constituting 0.0001% of the paid-up capital shown as Annexure-Y.

16. It is further stated that there are no Secured Creditors in the Applicant Company No.1/Transferor Company No.4 as on 2nd February, 2018 as certified by the Chartered Accountant. The certificate of the chartered accountant certifying the list of Secured Creditors is shown as Annexure-S.

17. It is further stated that there are two Unsecured Creditors in the Applicant Company as on 2nd May, 2018 as certified by the Chartered Accountant. The certificate of the chartered accountant certifying the list of Unsecured Creditors is shown as Annexure-S.

18. We have seen the consent affidavits which filed by two unsecured creditors of Applicant CompanyNo.1/Transferor Company no.4 i.e.,(i)Executive Cabs, due Rs.28,60,335,(ii)Appirio Inc due USD44,419 and the consent affidavits are shown as Annexure-Y.

19. It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No.2/Transferee Company has certified that there are 4,52,37,84,491 equity shareholders as on 31st March, 2018 of the Applicant Company No.2/Transferee Company. The certificate of the Chartered Accountant certifying the list of shareholders is shown as Annexure-R.

20. It is further stated that there are no Secured Creditors in the Applicant Company No.2/Transferee Company as on 30th April, 2018 as certified by the Chartered Accountant. The certificate of the chartered accountant certifying the list of Secured Creditors is shown as Annexure-T.

21. It is further stated that there are 4628 Unsecured Creditors in the Applicant Company as on 30th April, 2018 as certified by the Chartered Accountant. The certificate of the chartered accountant certifying the list of Unsecured Creditors is shown as Annexure-T.

22. This Bench vide order dated 31.5.2018 directed the PCS to issue notice to Registrar of Companies for furnishing their comments.

23. The Registrar of Companies vide report no.ROCB/LEGAL/CA(CAA)/30/BB/2018 dated 28.6.2018 made the following observations;

A. Section 234(1) of Companies Act states that, the provisions of the chapter XV unless otherwise provided under any other law for the time being in force, shall apply *mutatis mutandis* to schemes of mergers and amalgamations between companies registered under this Act and companies incorporated in the jurisdictions of such countries as may be notified from time to time by the Central Government

B. Section 234(2) of the Act 2013 further states that, subject to the provisions of any other law for the time being in force, a foreign company, may with the

prior approval of the Reserve Bank of India, merge into a company registered under the Companies Act or *vice versa* and the terms and conditions of the scheme of merger may provide, among other things, for the payment of consideration to the shareholders of the merging company in cash, or in Depository Receipts, or partly in cash and partly in Depository Receipts, as the case may be, as per the scheme to be drawn up for the purpose.

C. Further, as per Rule 25A of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 which states as follows:

I. A foreign company incorporated outside India may merge with an Indian company after obtaining prior approval of Reserve Bank of India and after complying with the provisions of sections 230 to 232 of the Act and these rules.

II. (a) A company may merge with a foreign company incorporated in any of the jurisdictions specified in Annexure B after obtaining prior approval of the Reserve Bank of India and after complying with provisions of sections 230 to 232 of the Act and these rules.

(b) The transferee company shall ensure that valuation is conducted by valuers who are members of a recognised professional body in the jurisdiction of the transferee company and further that such valuation is in accordance with internationally accepted principles on accounting and valuation. A declaration to this effect shall be attached with the application made to Reserve Bank of India for obtaining its approval under clause (a) of this sub-rule.

III. The concerned company shall file an application before the Tribunal as per provisions of section 230 to section 232 of the Act and these rules after obtaining approvals specified in sub-rule (1) and sub-rule (2), as the case may be.

24. The Company Secretary of Applicant Company No.2/Transferee Company has filed an Affidavit dated 11th July, 2018 and stated that:

I. The Transferee Company has complied with the applicable provisions pertaining to Foreign Companies as set out under section 230-232read with Section 234 of the companies Act, 2013 and rules & regulations made thereunder. Copy of the Board Resolution of the Transferee Company is annexed as Annexure A.

II. The Transferee Company has made an application to Reserve Bank of India with regard to the merger as required under the regulations set out in

Foreign Exchange Management (Cross Border Merger) regulations, 2018. (Notification No.FEMA.389/2018-RB). Copy of the application is annexed as Annexure-B

III. Wipro Technologies Austria GmBH, Wipro Information Technology Austria GMBH and Newlogic Technologies SARL, the Transferor Companies incorporated outside India, will comply with the provisions of the laws, rules and regulations as may be applicable in connection with the merger in their respective countries/jurisdiction.

25. The Applicant is seeking an order to direct that the meeting of Equity Shareholders and Unsecured Creditors of the Applicant Company no.2/Transferee Company be held for approving the Scheme of Amalgamation.

26. After hearing the counsel and after perusing the documents filed, we pass the following order.

a) The meeting of the Equity Shareholders of the Applicant Company No.2/Transferee Company be convened and held at Wipro Limited, Doddakannelli, Sarjapur Road, Bangalore-560035 on Wednesday the 19th September, 2018 at 10:00 A.M. for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of Wipro Technologies Austria GmBH (Transferor Company No.1), Wipro Information Technology Austria GmBH (Transferor Company No.2), NewLogic Technologies SARL (Transferor Company No.3) and Appirio India Cloud Solutions Private Limited (Applicant Company/Transferor Company No.4) with Wipro Limited (Applicant Company No.2/Transferee Company).

b) Mr.Azim H Premji, Executive Chairman failing him Mr.Rishad A Premji, Executive Director and Chief Strategy Officer, failing him Mr.B.C.Prabhakar, Advocate, failing him Mr. Saji P.John, Advocate is appointed as Chairperson and Mr.Sreedharan V, PCS as Scrutinizer for the Meeting of Equity Shareholders. The remuneration of Chairperson and Scrutinizer is fixed at

Rs.35,000/- and Rs.25,000/- respectively for convening the meeting of Equity Shareholders.

c) The meeting of the Unsecured Creditors of the Applicant Company No.2/Transferee Company be convened and held at Wipro Limited, Doddakannelli, Sarjapur Road, Bangalore-560035 on Wednesday the 19th September, 2018 at 12:00 Noon for the purpose of considering and, if thought fit, approving with or without modification(s) the proposed scheme of amalgamation of Wipro Technologies Austria GmBH (Transferor Company No.1), Wipro Information Technology Austria GmBH (Transferor Company No.2), NewLogic Technologies SARL (Transferor Company No.3) and Appirio India Cloud Solutions Private Limited (Applicant Company/Transferor Company No.4) with Wipro Limited (Applicant Company No.2/Transferee Company).

d) Mr.Rishad A Premji, Executive Director and Chief Strategy Officer, failing him Mr.Jatin P Dalal, Chief Financial Officer, failing him Mr.B.C.Prabhakar, Advocate, failing him Mr. Saji P.John, Advocate is appointed as Chairperson and Mr.Sreedharan V, PCS as Scrutinizer for the Meeting of Unsecured Creditors. The remuneration of Chairperson and Scrutinizer is fixed at Rs.35,000/- and Rs.25,000/- respectively for convening the meeting of Unsecured Creditors.

e) The quorum for the Meeting of Equity Shareholders is Thirty.

f) The quorum for the Meeting of Unsecured Creditors is Five hundred or such number having constituting 51% in value whichever is lower.

g) The Notice of the Meeting of Equity Shareholders and Unsecured Creditors shall be published in an English Daily "Business Standard" and in Kannada Daily "Vijaya Karnataka".

h) The Applicant Company or its authorized signatory is directed to issue notice(s) to Equity Shareholders and Unsecured Creditors of Applicant Company No.2/Transferee Company by Registered or Speed Post; or Courier; or Air Mail; or email; or hand delivery to their last known address at least 30 clear days before the said meeting of the Equity Shareholders and Unsecured Creditors of Applicant Company No.2/Transferee Company as per Form No.CAA2 (Rule 6) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ensuing convening the said Secured creditors

and Unsecured Creditors Meeting of Applicant Company at the place, day, date and time, along with a copy of scheme of arrangement, a copy of Explanatory Statement, pursuant to be sent under Section 230 of the Companies Act, 2013 and form of Proxy as per Form No. MGT-11 (Rule 19) of the Companies (Management and Administration) Rules, 2014.

i) The Applicant Company No.2/Transferee Company is directed at least 30 clear days before the Meeting of the Equity Shareholders and Unsecured Creditors of the Applicant Company No.2/Transferee Company to be held as aforesaid, a notice convening the said meeting, at the place, date and time aforesaid and stating that copies of the Scheme of Arrangement and the statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and that the form of proxy can be obtained free of charge at the Registered Office of the Applicant Company No.2/Transferee Company as aforesaid.

j) The Applicant Company No.2/Transferee Company to serve the notice along with the copy of entire Application including the annexures and a copy of scheme upon the Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

k) The Applicant Company No.2/Transferee Company to serve the notice along with the copy of entire Application including the annexures and a copy of scheme upon the Registrar of Companies, Karnataka pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

l) The Applicant Company No.2/Transferee Company to serve the notice along with the copy of entire Application including the annexures and a copy of scheme upon the Pr.CCIT, Karnataka & Goa, Designated Nodal Officer of Income Tax Department, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

m) The Applicant Company No.2/Transferee Company to serve the notice along with the copy of entire Application including the annexures and a copy of scheme upon the , Reserve Bank of India pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

n) The Applicant Company No.2/Transferee Company to serve the notice along with the copy of entire Application including the annexures and a copy of scheme upon the Stock Exchange, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

o) The Applicant Company No.2/Transferee Company to serve the notice along with the copy of entire Application including the annexures and a copy of scheme upon the other Sectoral Regulators or Authorities, pursuant to Section 230(5) of the Companies Act, 2013 as per Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules.

p) The said Chairman shall have all powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the conduct of the meeting(s), including for deciding procedural questions that may arise before or at any adjournment thereof or any other matter including an amendment to the scheme or resolution, if any, proposed at the meeting by any person(s).

q) The voting shall be in person or by proxy or authorised representative in case be permitted, provided that the proxy in the Form No. MGT-11 authorization duly signed by the person entitled to attend and vote at the meeting, is to be filed with the Applicant Company at its Registered office, not later than, forty eight hours before the aforesaid meeting in accordance with Rule 10 of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

r) The said Chairman to file affidavit not less than seven days before the day fixed for holding of the meeting and do report to this tribunal that the direction regarding convening and issuance of notice(s) to all the necessary parties have been duly complied with in conformity with the relevant Provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

s) The Chairman shall report the conclusion of the aforesaid meeting as per the Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

27. In any case, Since the Foreign Companies are involved, Transferor Companies No.1, 2 and 3 will ensure compliances of respective laws of concerned countries for 1st Stage Compliances apart from Compliances as per Section

230-234 of Companies Act, 2013 and to file Board Resolution of respective Companies including that of Transferee Company to that effect.

28. In any eventuality when the Applicant Companies approach this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the scheme of Arrangement to put forth their contentions before the Tribunal.

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

(RAJESWARA RAO VITTANALA)
MEMBER, JUDICIAL

Sirisha